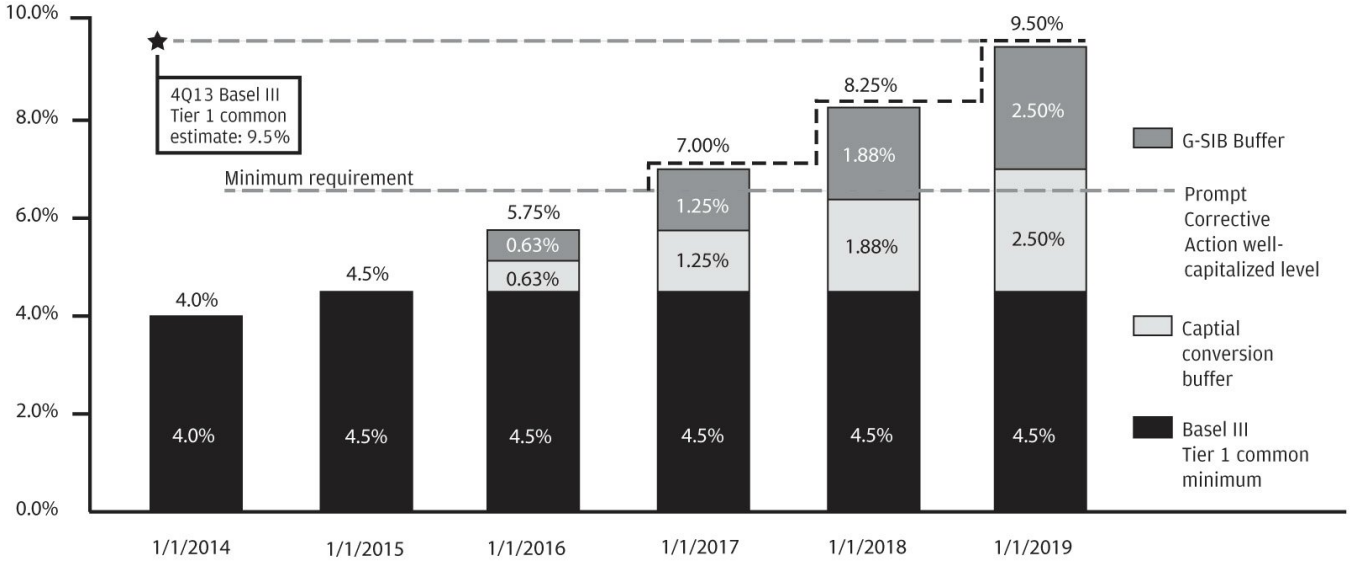
Firm) is required to hold more than the additional 2.5% of Tier 1 common.

In addition, Basel III establishes a 6.5% Tier I common equity standard for the definition of "well capitalized" under the Prompt Corrective Action ("PCA") requirements of the FDIC Improvement Act ("FDICIA"). The Tier I common equity standard is effective from the first quarter of 2015.

The following chart presents the Basel III minimum risk-based capital ratios during the transitional periods and on a fully phased-in basis. The chart also includes management's target for the Firm's Tier 1 common ratio. It is the Firm's current expectation that its Basel III Tier 1 common ratio will exceed the regulatory minimums, both during the transition period and upon full implementation in 2019 and thereafter.



The Firm estimates that its Tier 1 common ratio under the Basel III Advanced Approach on a fully phased-in basis would be 9.5% as of December 31, 2013, achieving management's previously stated objectives. The Tier 1 common ratio as calculated under the Basel III Standardized Approach is estimated at 9.4% as of December 31, 2013. The Tier 1 common ratio under both Basel I and Basel III are non-GAAP financial measures. However, such measures are used by bank regulators, investors and analysts to assess the Firm's capital position and to compare the Firm's capital to that of other financial services companies.

The following table presents a comparison of the Firm's Tier 1 common under Basel I rules to its estimated Tier 1 common under the Advanced Approach of the Basel III rules, along with the Firm's estimated risk-weighted assets. Key differences in the calculation of RWA between Basel I and Basel III Advanced Approach include: (1) Basel III credit risk RWA is based on risk-sensitive approaches which largely rely on the use of internal credit models and parameters, whereas Basel I RWA is based on fixed supervisory risk-weightings which vary only by counterparty type and asset class; and (2) Basel III includes RWA for operational risk, whereas Basel I does not. Operational risk capital takes into consideration operational losses in the quarter following the period in which those losses were realized, and the calculation generally incorporates such losses irrespective of whether the issues or business activity giving rise to the losses have been remediated or reduced. The Firm's operational risk capital model continues to be refined in conjunction with the Firm's Basel III Advanced Approach parallel run. As a result of model enhancements in 2013, as well as taking into consideration the legal expenses incurred by the Firm in 2013, the Firm's operational risk capital increased substantially in 2013 over 2012.

Tier 1 common under Basel III includes additional adjustments and deductions not included in Basel I Tier 1 common, such as the inclusion of accumulated other comprehensive income ("AOCI") related to AFS securities and defined benefit pension and other postretirement employee benefit ("OPEB") plans.

December 31, 2013 (in millions, except ratios)	
Tier 1 common under Basel I rules	$ 148,887
Adjustments related to AOCI for AFS securities and defined benefit pension and OPEB plans	1,474
Add back of Basel I deductions[(a)]	1,780
Deduction for deferred tax asset related to net operating loss and foreign tax credit carryforwards	(741)
All other adjustments	(198)
Estimated Tier 1 common under Basel III rules	$ 151,202
Estimated risk-weighted assets under Basel III Advanced Approach[(b)]	$ 1,590,873
Estimated Tier 1 common ratio under Basel III Advanced Approach[(c)]	9.5%

(a) Certain exposures, which are deducted from capital under Basel I, are risked-weighted under Basel III.